

ECO102: Introduction to Macroeconomics

Lecture 10: Aggregate Supply and Aggregate Demand Contd.

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Aggregate Demand

- The ***quantity of real GDP demanded*** is the total amount of final goods and services produced in a Country that people, businesses, governments, and foreigners plan to buy
- So, the ***quantity of real GDP demanded is determined by:***

$$Y = C + I + G + X - M$$

- Buying plans depend on many factors, including
 - The Price level
 - Expectations
 - Fiscal policy and monetary policy
 - The world economy

Aggregate Demand

- Other things remaining the same, the higher the price level, the smaller is the ***quantity of real GDP demanded***; and this relationship between the quantity of real GDP demanded and the price level is called aggregate demand
- ***Aggregate Demand*** is a downward-sloping curve similar to the case of the competitive market
- The aggregate demand curve slopes downward for two reasons:
 - ***Wealth effect***
 - ***Substitution effects***

Aggregate Demand

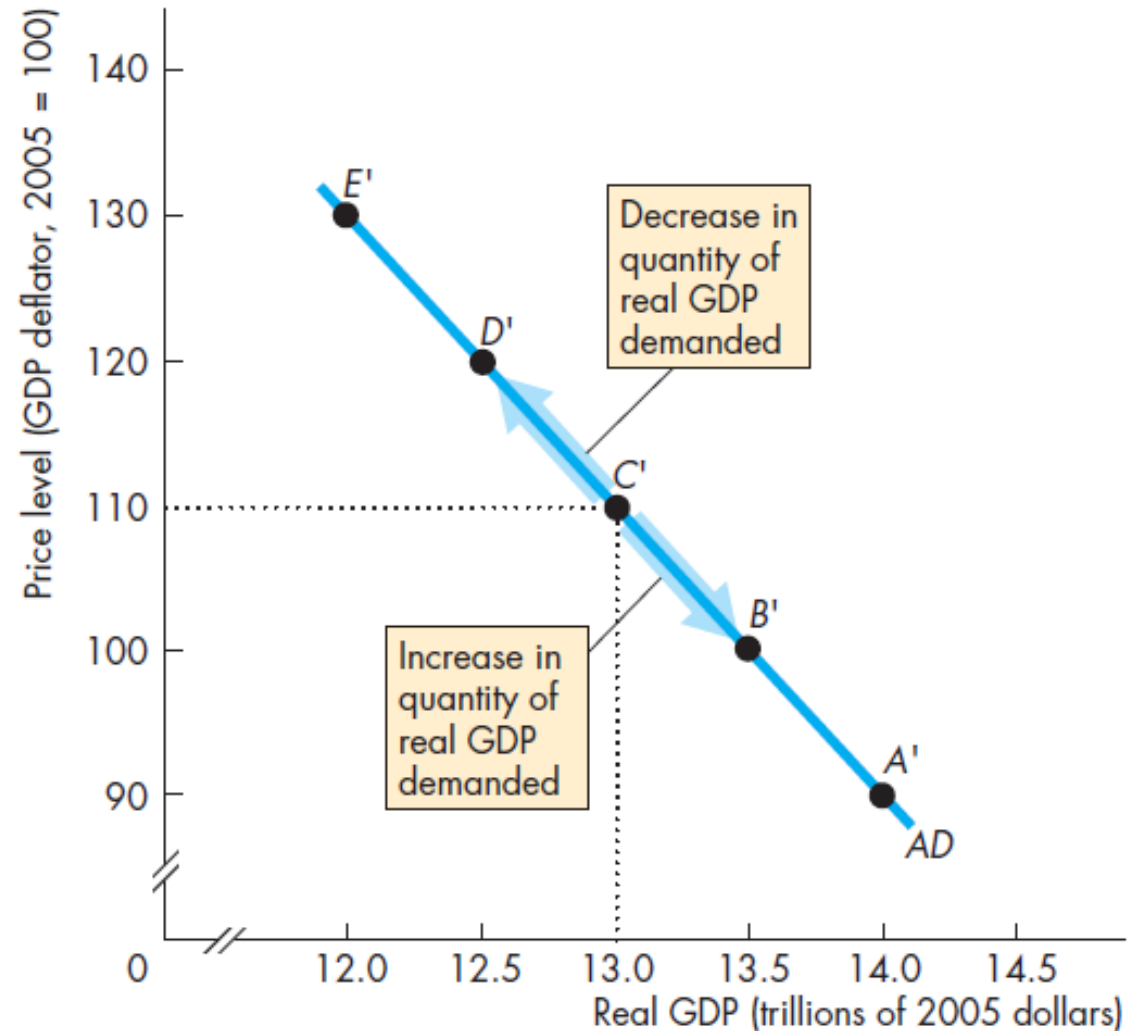
- **Wealth effect:** When the price level rises but other things remain the same, real wealth decreases. In order to restore their wealth, people increase their savings and, equivalently, decrease current consumption, leading to a decrease in aggregate demand
- **Substitution effects:** When the price level rises and other things remain the same, interest rates rise. faced with a higher interest rate, people and businesses delay plans to buy new capital and consumer durable goods and cut back on spending

This substitution effect involves changing the timing of purchases of capital and consumer durable goods and is called an intertemporal substitution effect

A second type of substitution effect occurs when, due to the increase in relative prices, people choose foreign-made products as opposed to locally produced products.

Aggregate Demand

A change in the price level, when all other influences on aggregate buying plans remain the same, brings a change in the quantity of real GDP demanded and a movement along the AD curve



Changes in AD

- A change in the price level corresponds to a change in the quantity of Aggregate Demand
- A change in any factor that influences buying plans other than the price level brings a change in aggregate demand. These are:
 - Expectations
 - Fiscal Policy and Monetary Policy
 - The World Economy

Changes in AD: Expectations

- ***Expectations:*** An increase in expected future income increases the amount of consumption goods that people plan to buy today

An increase in the expected future inflation rate increases aggregate demand today because people decide to buy more goods and services at today's relatively lower prices

An increase in expected future profits increases the investment that firms plan to undertake today and increases aggregate demand

Changes in AD: Fiscal and Monetary Policy

- ***Fiscal Policy and Monetary Policy:*** The government's attempt to influence the economy by setting and changing taxes, making transfer payments, and purchasing goods and services is called **fiscal policy**
- **Disposable income** is aggregate income minus taxes plus transfer payments
- The greater the disposable income, the greater is the quantity of consumption goods and services that households plan to buy and the greater is aggregate demand
- Also if government expenditure increases, the aggregate demand increases as well

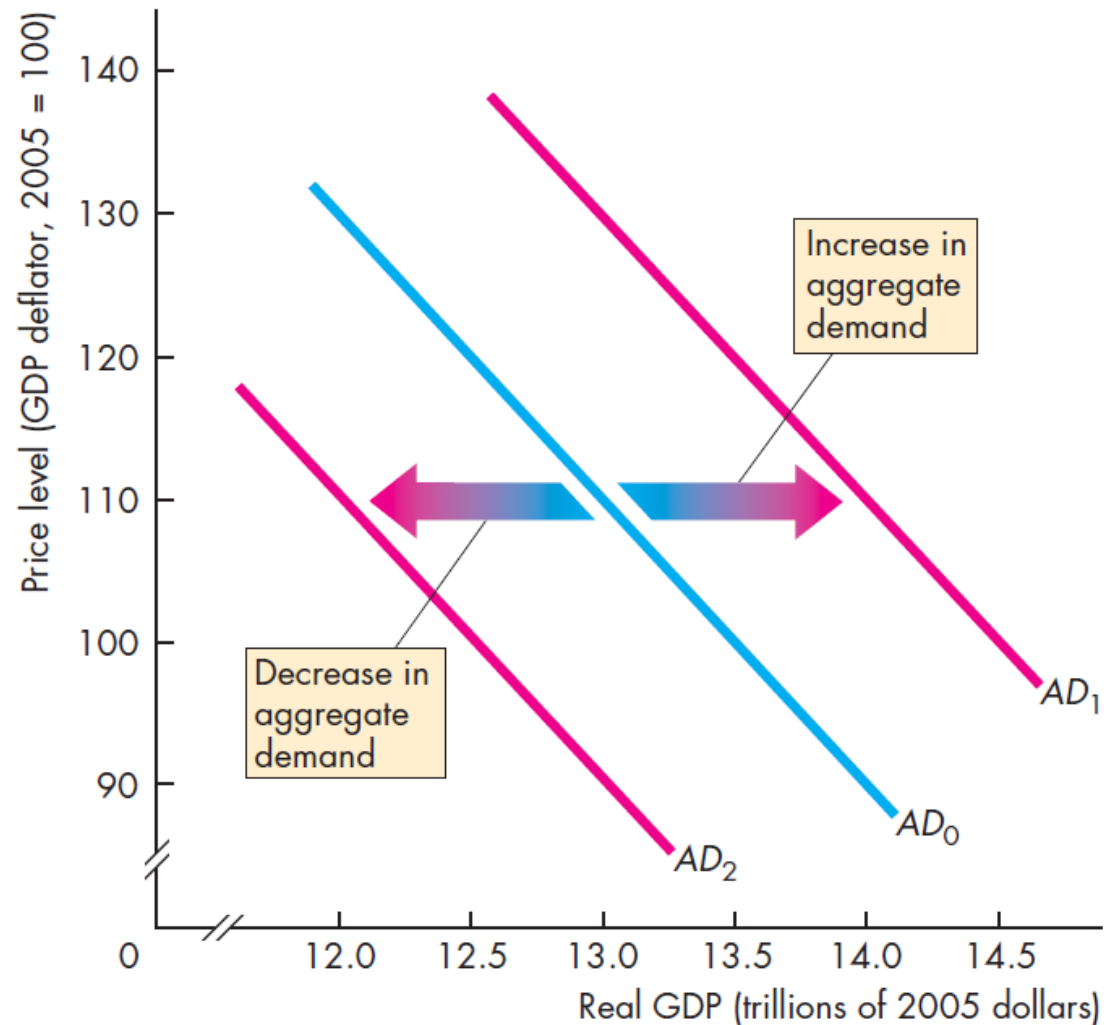
Changes in AD: Fiscal and Monetary Policy

- The Central Bank's attempt to influence the economy by changing interest rates and the quantity of money is called ***monetary policy***
- An increase in the quantity of money increases aggregate demand by lowering interest rates and making it easier to get a loan
- A decrease in the quantity of money has the opposite effects and lowers aggregate demand

Changes in AD: The World Economy

- ***The World Economy:*** Two main influences that the world economy has on aggregate demand are the **exchange rate** and **foreign income**
- Other things remaining the same, a rise in the exchange rate decreases aggregate demand, and vice versa
- An increase in foreign income increases exports, leading to an increase to aggregate demand

Shifts of the AD Curve



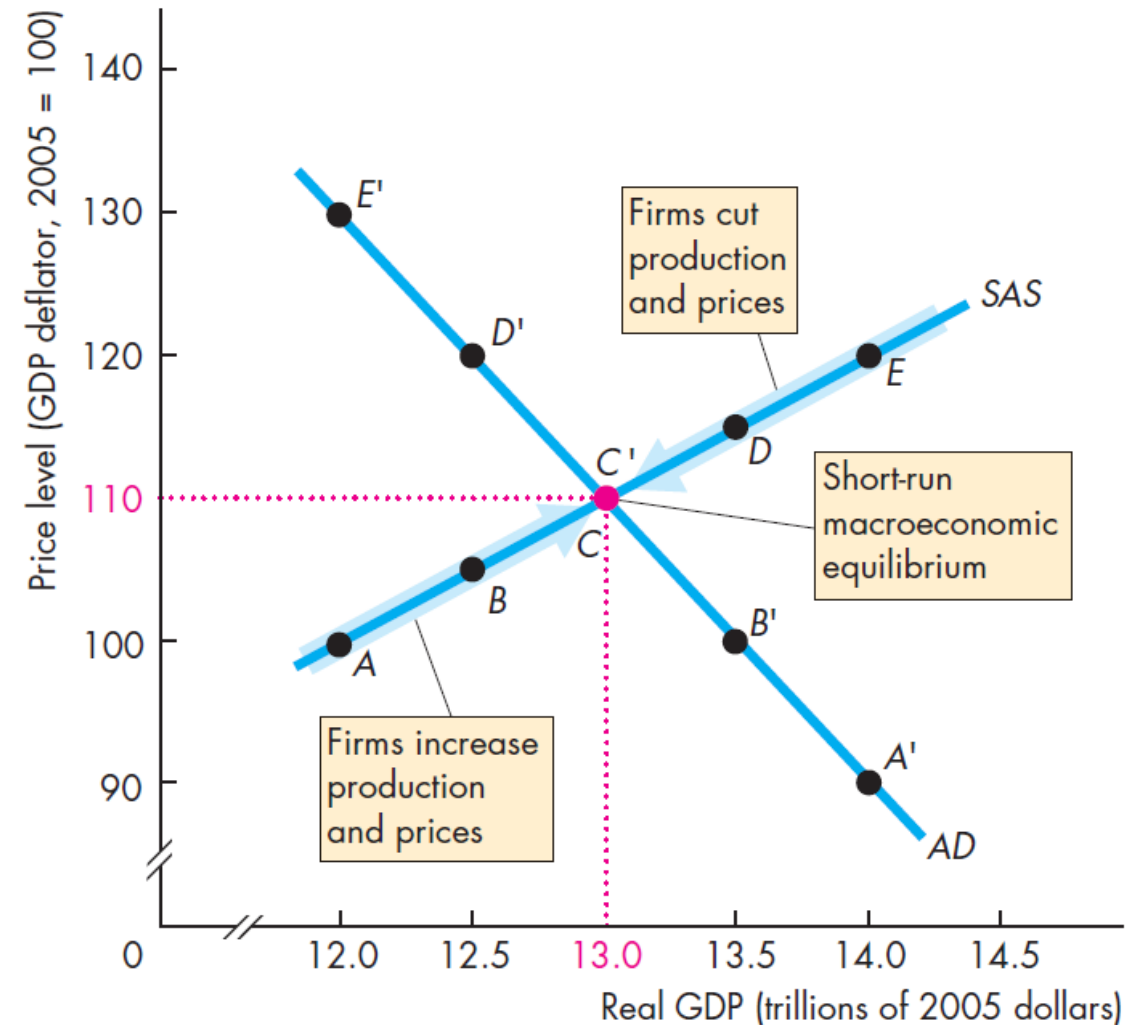
Aggregate Demand	
Decreases if	Increases if
Expected future income, inflation or profit decreases	Expected future income, inflation, or profit increases
Fiscal policy decreases govt. expenditure, increases taxes, or decreases transfer payments	Fiscal policy increases govt. expenditure, decreases taxes, or increases transfer payments
Monetary policy decreases the quantity of money and increases interest rates	Monetary policy increases the quantity of money and decreases interest rates
The exchange rate increases or foreign income decreases	The exchange rate decreases or foreign income increases

Macroeconomic Fluctuations: Short-run Macroeconomic Equilibrium

- *Short-run macroeconomic equilibrium* occurs when the quantity of real GDP demanded equals the quantity of real GDP supplied; when **$AD = SAS$**
- Try to think about what happens when the price level is either above or below the equilibrium level
- In the short run, the money wage rate is fixed. It does not adjust to move the economy to full employment. So in the short run, real GDP can be greater than or less than potential

Macroeconomic Fluctuations: Short-run Macroeconomic Equilibrium

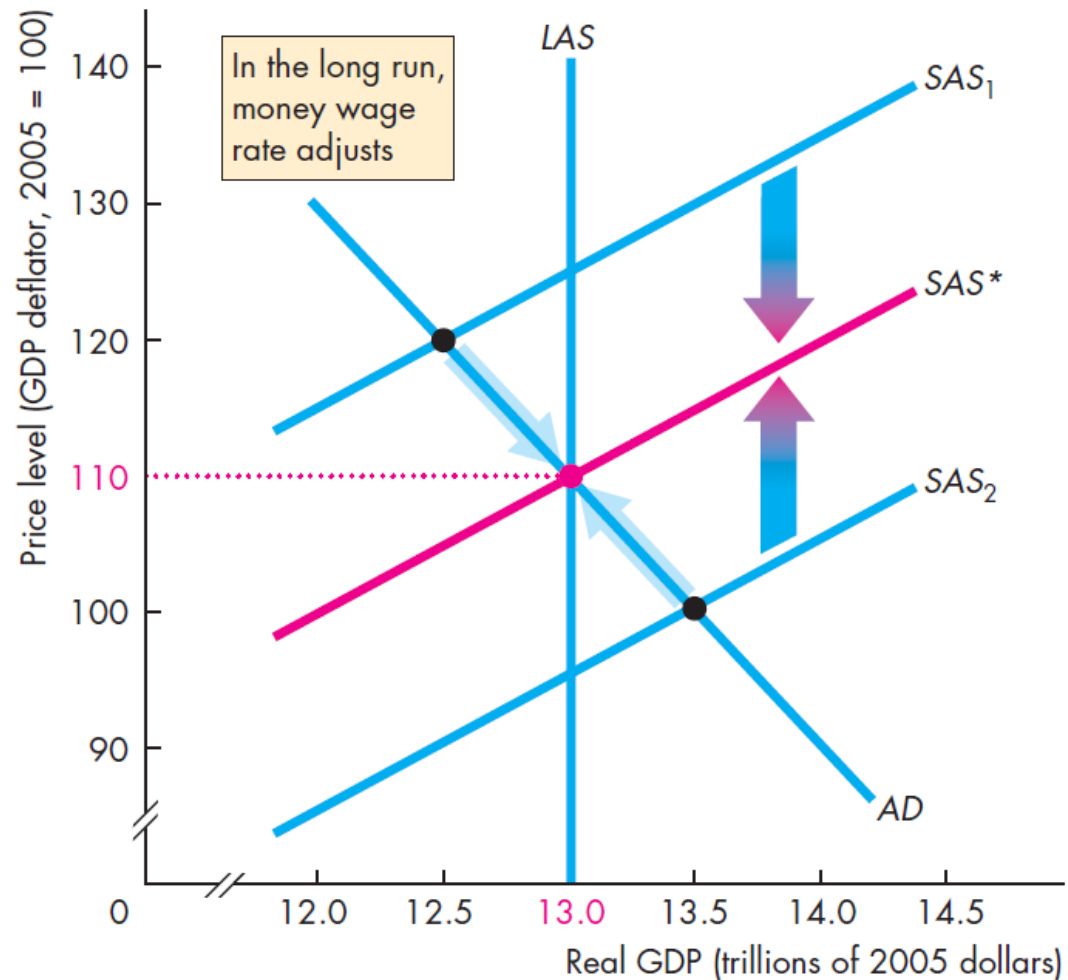
Short-run macroeconomic equilibrium occurs when real GDP demanded equals real GDP supplied at the intersection of AD curve SAS curve



Macroeconomic Fluctuations: Long-run Macroeconomic Equilibrium

- ***Long-run macroeconomic equilibrium*** occurs when real GDP equals potential GDP; equivalently, when the economy is on its LAS curve
- When the economy is away from long-run equilibrium, the money wage rate adjusts
- If the money wage rate is too high, short-run equilibrium is below potential GDP and the unemployment rate is above the natural rate, and with an excess supply of labor, the money wage rate falls
- If the money wage rate is too low, short-run equilibrium is above potential GDP and the unemployment rate is below the natural rate there is an excess demand for labor, leading to the money wage rate to rise

Macroeconomic Fluctuations: Long-run Macroeconomic Equilibrium



In long-run equilibrium, potential GDP determines real GDP and potential GDP and aggregate demand together determine the price level

The money wage rate adjusts until the SAS curve passes through the long-run equilibrium point

Question

HOW DO YOU THINK THE GOVERNMENT CAN STIMULATE THE ENTIRE ECONOMY TO BOOST PRODUCTION AND CONSUMPTION?